

A hawkish dot plot in September suggests today's FOMC minutes shouldn't surprise on the dovish side. At the same time, softish post-meeting data probably raise the bar for a positive dollar reaction today. Eyes should remain on oil, which is back on the rise this morning, and France, which is enjoying some relief in sovereign spreads

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences [here](#) at any time.

Read more about our [Cookie policy](#)



Essential



Performance Cookies



Targeting Cookies

Confirm selection

Accept all



USD: Looking for clarity in the minutes

A rare good day for bonds let US stocks rise to new highs and left the safe-haven dollar weaker yesterday. Brent briefly fell below \$100/bbl before recovering after reports that Iran had stepped up strikes on tankers in the Strait of Hormuz. Stubbornly high oil prices continue to reflect concerns about further disruptions, even as actual oil flows have improved. With few signs of an imminent deal, energy prices should remain a drag on any meaningful recovery in bonds and, by extension, on a decline in the dollar.

Attention turns back to the Fed today with the release of the September FOMC minutes. Markets are still looking for greater clarity on the data-policy reaction function, particularly which inflation outcomes would justify another hike this year. The minutes should also offer some insight into any dovish dissent.

However, with the dot plot showing more members expecting two further hikes this year (4) than no further tightening (2), the scope for a dovish surprise appears limited. At the same time, data has been softish since the September hike and markets continue to firmly price a December move, setting a relatively high bar for a positive USD reaction.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences [here](#) at any time.

Read more about our [Cookie policy](#)

Essential

Performance Cookies

Targeting Cookies

While it's clear that Le Pen is attempting to establish herself as the market-friendly candidate, our macro team [notes](#) that her plan currently rests on ambitious spending-cut targets rather than a fully costed programme, with major uncertainties around how €140bn of savings, particularly on pensions, would be achieved. We therefore aren't convinced her words are enough to drive a material OAT recovery from here.

The euro welcomed tighter spreads, but the rebound has lost steam overnight on the back of higher oil prices. A return towards 1.1150/1.1180 remains the risk today. EUR/CHF has now recovered

roughly half of its October losses, but a move beyond 0.940 would likely require a broader improvement in sentiment towards the French fiscal outlook, which still looks premature.

Francesco Pesole

↓ **SEK: Softer inflation shouldn't derail November hike plan**

Swedish inflation for September surprised slightly on the downside this morning. Headline CPIF rose as expected to 1.5%, led by energy prices, but the core measure excluding energy stayed at 0.5% against expectations of 0.7%.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences [here](#) at any time.

Read more about our [Cookie policy](#)

Essential

Performance Cookies

Targeting Cookies

↓ **CZE: September inflation rebound**

Following the inflation spikes seen in Poland last week and the Czech Republic yesterday, Hungary's figures were released this morning. We saw a rise from this year's low of 1.3% to 1.6%. As in the other countries, the main driver was higher fuel prices, although the increase came in below both market and central bank expectations. In its September forecast, the central bank had projected inflation to rise to 1.7%.

Later today, the National Bank of Poland will decide on monetary policy; we expect it to leave rates unchanged at 3.75%. Although

September saw inflation jump to 4.0%, exceeding the tolerance band, new government measures and lower core inflation should allow the central bank to continue waiting. Continued hesitation by the NBP would thus signal a dovish stance, contrasting with current hawkish market pricing that anticipates around 100bps of tightening. Attention will then shift to the governor's press conference tomorrow.

Regional FX saw some relief yesterday amid a global market shift, with the forint emerging as the usual winner. However, ongoing tensions in the Middle East, elevated energy prices, and a strong US dollar keep us leaning towards a dovish outlook. If the NBP strikes a

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences [here](#) at any time.

Read more about our [Cookie policy](#)

Essential

Performance Cookies

Targeting Cookies

 Share

 Download